

Business Analytics Terminology

① Foundational Concepts of Analytics

1. Business Analytics

This is the process of using data, technology and statistical methods to help businesses make better decisions. It focuses on analyzing past and current business performance to improve future outcomes such as profits, customer service and efficiency.

eg Our cleaning company can use Business Analytics to track which services make the most profit and which areas generate the highest number of repeat customers.

Source: Laursen, G. & Thorlund, J. (2016). Business Analytics for Managers. Wiley.

2. Data Analytics

Refers to examining raw data to discover patterns, trends and insights. Unlike Business Analytics which focuses on business decision-making, Data Analytics can be applied in many fields such as healthcare, sports and education.

Eg A Cape Town restaurant may analyze customer purchase data to identify which menu items sell the most during weekends.

Source: Davenport, T. & Harris, J. (2017) Competing on Analytics. Harvard Business Review Press.

3. Business Intelligence (BI)

Business intelligence is a set of tools and systems used to collect, organize and present business data in an understandable format. BI mainly focuses on reporting and dashboard to help managers monitor business performance.

Eg.: A supermarket chain such as Shoprite uses dashboards to monitor daily sales across different stores.

Source: Power, D. (2013). Decision Support, Analytics, and Business Intelligence. Pearson.

4. Data Driven Decision Making

This means using facts, data and evidence instead of assumptions when making business decisions. Companies rely on analytics reports and measurable information before taking action.

E.g.: A clothing store may decide to stock more winter jackets after analyzing sales data that shows strong demand during colder months.

Source: McAfee, A. & Brynjolfsson, E. (2012). Big Data: The Management Revolution. Harvard Business Review.

5. Big Data

Big Data refers to extremely large and complex datasets that businesses collect from many sources. It is often described using the three Vs: volume, velocity and variety.

E.g. Takeda collects large amounts of customer browsing, payment and delivery data every day to improve customer recommendations.

Source: Mayer-Schönberger, V. & Cukier, K. (2013). Big Data: A Revolution That Will Transform How We Live, Work and Think. John Murray.

6. Descriptive Analytics

This focuses on understanding what has already happened in a business. It uses reports, charts and historical data to summarize past performance.

E.g. A gym owner reviews monthly memberships reports to see how many customers joined or cancelled during the month.

Source: Evans, J. (2017). Business Analytics. Pearson.

7. Diagnostic Analytics

This explains why something happened by identifying causes and relationship in the data. It helps businesses understand the reason behind trends and problems.

E.g. A coffee shop investigates why sales drop during a certain month and discovers that road construction reduced customer traffic.

Source: IBM Analytics (2024)

8. Predictive Analytics

This uses historical data, algorithms and statistical models to forecast future outcomes. Businesses use it to predict customer behaviour, sales, trends or risks.

E.g. A delivery company predicts busy delivery periods before holidays based on previous years order patterns.

source : Siegel, E. (2016). Predictive Analytics. Wiley.

9. Prescriptive Analytics

Prescriptive Analytics goes beyond predicting outcomes by recommending action business should take. It helps managers to choose the best solution among different options.

E.g. A logistics company uses software to recommend the fastest delivery route to reduce fuel cost.

Source : Delen, D. & Ram, S. (2018). Research Challenges and Opportunities in Business Analytics. Journal of Business Analytics.

10. Data Literacy

Data Literacy is the ability to read, understand, analyze and communicate data effectively. Employees with data literacy can make informed decisions using reports and dashboards.

E.g. A marketing manager who understands social media analytics can identify which advertising campaigns generate the most engagement.

Source: Qlit (2023). Data Literacy Research Report.

② Data, Measurement & Reporting

11. Structured Data

Structured data is organized information stored in rows and columns, usually inside spreadsheets or databases. It is easy to search, sort and analyze.

E.g. A payroll spreadsheet containing employee names, salaries and working hours is structured data.

Source: Oracle Database Concepts Guide

12. Unstructured Data

Is information that does not fit neatly into rows and columns. It includes videos, images, emails, social media comments and voice recordings.

E.g. customer reviews on our darling company's Facebook page are considered unstructured data.

Source: IBM Data Management Resources.

13. Data Warehouse

A Data Warehouse is a centralized system that stores large amounts of business data from different departments. It allows businesses to analyze data efficiently for reporting and decision-making.

eg. A retail company combines sales, inventory and customer data into one warehouse for management reporting.

Source : Kimball, R. & Ross, M. (2013) The Data Warehouse Toolkit. Wiley.

14. Data Mining

Is a process of discovering patterns, trends and relationships hidden with large datasets. Businesses use it to identify opportunities and customer behaviour.

eg. A bank may use data mining to detect unusual transactions that could indicate fraud.

Source : Han, J., Kamber, M. & Pei, J. (2011) Data Mining : Concepts and Techniques. Elsevier.

15. Data Visualization

Is the presentation of data through charts, graphs, maps and dashboards. It makes complex information easier to understand and communicate.

eg. A social media manager creates graphs showing monthly follower growth and engagement rates.

Source : Few, S. (2013). Information Dashboard Design, Analytics Press.

16. Dashboard

A dashboard is a visual tool that displays important business metrics and performance indicators in real time. It helps managers monitor business activities quickly.

E.g. Our cleaning business dashboard may display bookings, revenue, customer satisfaction scores and staff attendance.

Source: Power BI Documentation (Microsoft).

17. Metric

A metric is any measurable value used to track business activity or performance. Metrics provide information but not always directly tied to strategic business goals.

E.g. The number of ~~is~~ Instagram followers on our business page is a metric.

Source: Parameter, D. (2015). Key Performance Indicators. Wiley.

18. Key Performance Indicator (KPI).

A KPI is a specific metric that directly measures progress toward an important business objective. Every KPI is a metric but not every metric is important enough to be considered a KPI.

E.g. For Zithandeke Cleaning Services, monthly customer retention may be a KPI because repeat clients directly affect revenue growth.

Source: Parameter, D. (2015) Key Performance Indicators. Wiley.

19. Benchmark -

A benchmark is a standard or point of comparison used to evaluate business performance. Companies compare their results against competitors or industry averages.

E.g. A restaurant compares its average customer rating against competing restaurants in Cape Town.

Source: Camp, R. (1989) Benchmarking: The Search for Industry Best Practices. ASQC.

20. Segmentation

Is the process of dividing customers into groups based on shared characteristics such as age, location, spending habits or interests. It helps businesses target customers more effectively.

E.g. A gym may create separate promotions for students, working professionals and senior citizens.

Source: Kotler, P. & Keller, K. (2016). Marketing Management. Pearson.

③ Customer & Sales KPI's

21. Conversion Rate

Conversion rate measures the percentage of people who complete a desired action such as making a purchase or signing up for a service. It shows how effective marketing or sales efforts are.

e.g. If 100 people visit our cleaning business website and 10 request quotations, the conversion rate is 10%.

Source: HubSpot Marketing Statistics.

22. Customer Acquisition

The Customer Acquisition Cost is the total amount a business spends to gain one new customer. It includes marketing, advertising, sales salaries and promotional expenses.

e.g. If a business spends R500 on Facebook ads and gains 25 customers, the CAC is R200 per customer.

Source: Investopedia (2024).

23. Customer Lifetime Value (CLV/LTV)

CLV estimates the total profit a business expects to earn from a customer throughout the relationship. Business use CLV to determine how valuable customers are over time.

e.g. A monthly cleaning client who stays for three years and spends R2000 per month has a high CLV.

Source: Harvard Business Review Marketing Articles.

24. Churn Rate

Churn rate measures the percentage of customers who stop using a business's product or service over ~~time~~ a certain period. A high churn rate usually signals customer dissatisfaction or poor service.

E.g. A mobile network loses 5% of its subscribers each month due to competitors offering cheaper packages.

Source: McKinsey Customer Retention Insights.

25. Customer Retention Rate

Customer retention rate measures the percentage of customers a business keeps over time. It is the opposite of churn and reflects customer loyalty.

E.g. A salon that keeps most of its regular clients returning monthly has strong retention rate.

Source: Forbes Business Council Articles.

26. Net Promoter Score (NPS)

Net promoter score measures how likely customers are to recommend a business to others. It is commonly used to evaluate customer satisfaction and loyalty.

E.g. A guesthouse asks customers to rate how likely they are to recommend the business to friends on a scale from 0 to 10.

Source: Reichheld, F. (2003). The One Number You Need to Grow.
Harvard Business Review.

27. Average Order Value (AOV)

AOV measures the average amount customers spend per transaction. Businesses use it to understand buying behaviour and increase in revenue.

Eg. An online clothing store calculates that customers spend an average of ₹850 per order.

Source: Shopify Business Resource.

28 Sales Funnel

A sales funnel represents the stages customers move through before making a purchase. It usually starts with awareness and ends with conversion or loyalty.

Eg. A solar installation company attracts leads through social media ads, provides quotations and eventually converts some prospects into paying clients.

Source: HubSpot Sales Resources.

④ Marketing & Campaign Analytics

29. Marketing Campaign

A marketing campaign is a planned set of activities designed to achieve business objective such as increasing sales or brand awareness. Campaigns often use multiple channels such as email, social media and advertising.

e.g. A local restaurant runs a mothers day campaign using Instagram ads and WhatsApp promotions.

Source: Kotler, P. & Keller, K. (2016). Marketing Management, Person.

30. Post Campaign Analysis

Is the process of reviewing campaign performance after it ends. Businesses evaluate what worked, what failed and whether the campaign achieved its goals.

e.g. After a Facebook advertising campaign, a gym reviews new memberships, ad engagement and revenue generated.

Source: Google Analytics Academy Resources.

31. Incremented Revenue

IR is the extra income generated directly because of a marketing campaign or business activity. It helps businesses measure the real impact of their efforts.

e.g. A clothing store earns an additional R20 000 in sales during a promotional weekend campaign.

32. Return on Investment (ROI)

ROI measures how much profit a business earns compared to the amount invested. It is one of the most common ways to evaluate business performance.

E.g. A company spends R10 000 on advertising and earns R30 000 in profit, resulting in a positive ROI.

Source: Investopedia Finance Dictionary.

33. Return on Ad Spend (ROAS)

ROAS measures the amount of revenue generated for every rand spent on advertising. Unlike ROI it focuses specifically on advertising performance.

E.g. If a business spends R2 000 on Instagram ads and generates R12 000 in sales the ROAS is 6:1.

Source: Google Ads Help Centre.

34. Click-Through Rate

CTR measures the percentage of people who click on an advertisement or link after seeing it. It is used to evaluate how engaging an advertisement is.

E.g. Our cleaning company advert receives 800 views and 25 clicks, giving it a CTR of 5%.

Source: Meta Business Help Centre.

35. Bounce Rate

BR measures the percentage of website visitors who leave a site without interacting further. A high bounce rate may indicate poor website design or irrelevant content.

e.g. A customer visits an online store homepage but leaves immediately without viewing products.

Source: Google Analytics Support.

36. A/B Testing

A/B testing compares two versions of a webpage, email or advertisement to determine which performs better. Businesses use it to improve marketing effectiveness.

e.g. A bakery tests two Instagram ad designs to see which version receives more orders.

Source: Optimizely Experimentation Guide.

37. Lead Generation

Lead generation is the process of attracting and capturing potential customers who may be interested in a business's products or services.

e.g. A solar installation company collects customer contact details through an online quotation form.

Source: HubSpot Lead Generation Guide.

38 Marketing Attribution

It identifies which marketing channel contributed most to a ~~successful~~ customer's purchase or action. It helps businesses ~~under~~ understand where successful leads come from.

eg. A customer discovers our cleaning company through Instagram, clicks a Google ad later and finally books through WhatsApp. Attribution helps determine which channel influenced the final sale.

Source: Adobe Experience Cloud Marketing Attribution Resource.